

STOCK MARKET FUNDAMENTALS

Week 2 learning summary | Bluestock FinTech Internship

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1. MARKET STRUCTURE

STOCK MARKET

A regulated system where securities are issued and traded. New securities enter through the primary market; investors trade existing securities in the secondary market.

NSE AND BSE

India's major stock exchanges. They provide electronic trading, price discovery and market oversight.

NIFTY 50 AND SENSEX

Benchmark indices. Nifty 50 tracks 50 large NSE-listed companies; Sensex tracks 30 large BSE-listed companies. An index is a market indicator, not the whole market.

IPO AND SME IPO

An IPO is a company's first public share offer. An SME IPO is designed for eligible smaller businesses and normally trades on a dedicated SME platform.

2. CORE TERMS AND FORMULAS

MARKET CAPITALIZATION

Share price x outstanding shares. It measures company size, not whether a share is cheap.

EPS

Profit attributable to equity shareholders / weighted average shares. Higher EPS can indicate stronger per-share earnings.

P/E RATIO

Market price per share / EPS. It shows how much investors pay for each unit of earnings; compare similar firms and periods.

P/B RATIO

Market price per share / book value per share. It compares market value with accounting equity.

DIVIDEND

Cash distributed to shareholders. A high dividend is not automatically better if it weakens future investment.

BONUS ISSUE

Extra shares issued without cash payment. Ownership proportion is unchanged immediately after the issue.

STOCK SPLIT

Each share is divided into more shares at a lower price per share; total value is unchanged immediately.

TRADING VOLUME

Number of shares traded. High volume can signal liquidity or unusual market interest.

3. FINANCIAL STATEMENTS

BALANCE SHEET

A snapshot of assets, liabilities and equity at one date. Core equation: $\text{Assets} = \text{Liabilities} + \text{Equity}$.

PROFIT AND LOSS

Performance over a period. $\text{Revenue} - \text{expenses} = \text{profit}$. Review growth, operating margin and net margin.

CASH FLOW STATEMENT

Actual cash movement from operating, investing and financing activities. Profit without healthy operating cash deserves investigation.

BASIC RATIOS

Liquidity: $\text{Current assets} / \text{Current liabilities}$. Profitability: $\text{Net profit} / \text{Revenue}$. Leverage: $\text{Liabilities} / \text{Equity}$. Return: $\text{Profit} / \text{Average equity}$.

4. BEGINNER ANALYSIS CHECKLIST

- Use audited reports and compare at least two periods.
- Check revenue growth, margins and major exceptional items.
- Compare current assets with current liabilities.
- Connect reported profit with operating cash flow.
- Read notes, risks and accounting policies before concluding.